DSEH004 · PERFORMANCE MANAGEMENT AND EMPLOYEE ENGAGEMENT

Goal Setting Theory and the Limits of SMART Goals

Week 4 · Lecture 2 · Unit I · Specific difficult goals, mechanisms and moderators, learning goals, and the goals gone wild debate

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L2 · COMMIT BEFORE THEORY

“Do your best” is a perfectly good goal for a new Sales hire.

Agree or disagree. What would goal setting theory predict?

L2 · THE CORE FINDING

Locke and Latham (2002)

Specific and difficult

Specific, difficult goals led to higher performance than vague exhortations to do one's best.

Linear up to ability

Performance rose with goal difficulty until the limits of ability or commitment were reached.

Locke, E. A., and Latham, G. P. (2002). American Psychologist, 57(9), 705 to 717

Mechanisms and moderators

MECHANISMS	MODERATORS
Direction: attention to relevant activity	Commitment to the goal
Effort: energy matched to difficulty	Feedback on progress
Persistence: prolonged effort	Task complexity
Strategy: discovery of task relevant knowledge	Ability

Locke and Latham (2002)

L2 · WHEN PERFORMANCE GOALS BACKFIRE

Learning goals for complex tasks

The problem

On a new, complex task, a demanding performance goal narrows attention before the person knows how to do the task.

The remedy

Set learning goals: discover and master strategies first. Performance goals come once the method is known.

BT 2026100, four months into Sales, may need learning goals, not quota alone.

Seijts and Latham (2005)

L2 · THE DEBATE

Goals gone wild?

ORDÓÑEZ ET AL. (2009)

The charge

Goals narrow focus, invite unethical behavior and risk taking, and crowd out intrinsic motivation.

LOCKE AND LATHAM (2009)

The reply

Those harms come from poorly set goals, not goal setting itself; the critics ignored decades of moderating evidence.

Where the acronym came from

DORAN (1981)

Origin

SMART began as a practitioner checklist in a management magazine, not as a theory.

LATHAM, EREZ AND LOCKE (1988)

Participation

Assigned goals worked as well as participative ones when the reason for the goal was explained.

INHERITED STATE

At Bharat Textiles

Goal documentation is 40.6 percent against a target of 85 percent.

A stretch Sales target

THEORY	PREDICTION
Goal setting	Higher effort if committed and given feedback
Goals gone wild	Gaming, shortcuts, neglect of unmeasured work
SDT	Controlling targets push motivation toward external regulation
JD R	A challenge demand: engaging only if resources match it

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